



Private Credit Research Report

A Comprehensive Strategic Review for Small to Mid-Sized Firms

Executive Summary

The landscape of institutional investment continues to evolve, with private credit emerging as a significant and increasingly indispensable component of diversified portfolios, particularly for small to mid-sized insurance companies. This report provides a comprehensive review of private credit, detailing its definition, diverse structures, market dynamics, and a thorough analysis of its advantages and disadvantages relative to other asset classes. Crucially, it addresses the specific concerns pertinent to insurers, including minimum investment thresholds, regulatory capital implications (Risk-Based Capital or RBC), liquidity considerations, historical performance metrics, manager expertise, reporting standards, and the critical interplay of GAAP and Statutory Accounting Principles (SAP).

The analysis reveals that private credit offers compelling benefits for insurers, such as including attractive yield potential, consistent income streams, and valuable diversification due to its low correlation with public markets. Its inherent structural protections and income-driven returns contribute to lower volatility and enhanced downside protection, aligning well with insurers' liability profiles. However, these benefits are accompanied by challenges such as illiquidity, credit risk, and a less transparent regulatory environment compared to public markets. Navigating these complexities requires meticulous due diligence on fund structures, a deep understanding of evolving NAIC guidelines or regulatory viewpoints, and a robust assessment of manager capabilities. For small to mid-sized insurers, careful selection of accessible fund structures (e.g., evergreen funds, BDCs) and a focus on investment-grade rated components are paramount for optimizing capital charges and ensuring regulatory compliance. The investment expertise required for such vetting is often best left to an expert: an Insurance Asset Management consultant. While the asset class presents unique operational and accounting considerations, its strategic inclusion, when approached with a disciplined and informed framework, can significantly enhance portfolio returns, reduce overall volatility, and support robust asset-liability matching.



Defining Private Credit: An Evolving Landscape

Private credit encompasses loans or debt instruments that are not publicly issued or traded, primarily extended to middle-market firms and businesses that may find traditional bank loans or public market access challenging. This asset class involves direct lending by non-bank financial institutions, including private equity firms and alternative asset managers. It has grown significantly to fill a financing gap left by traditional banks, particularly since the 2008 financial crisis.

The private credit market has undergone a significant transformation, expanding far beyond its initial niche as a source of financing for smaller, often riskier, borrowers underserved by traditional banks. What began as a focused, opportunistic lending strategy has evolved into a broad and integrated segment of the debt capital markets. This evolution is evident in the diverse range of sub-asset classes now encompassed within private credit, including real estate debt, structured credit, asset-based finance, distressed debt, mezzanine finance, venture debt, and infrastructure debt. This expansion means that private credit is no longer a monolithic asset class but rather a sophisticated ecosystem offering a wide array of risk-return profiles and underlying collateral types. For small to mid-sized insurers, this increased optionality is a critical development. It allows for more granular portfolio construction, enabling these institutions to select strategies that more precisely align with their specific liability durations, credit quality preferences, and regulatory capital objectives. This moves beyond a simplistic "direct lending" view, offering a nuanced approach to incorporating private credit into their broader investment strategy.

Diverse Structures and Investment Vehicles

The private credit market offers a variety of structures and investment vehicles, each with distinct characteristics regarding risk, return, and liquidity.

Direct Lending and Capital Structure Tranches: The predominant form of private credit is senior secured direct lending. These loans are typically floating rate, senior secured, and cash-flow based, often incorporating robust covenants designed to protect lenders. Within a company's capital structure, private credit can occupy various positions. First lien senior loans reside at the top, carrying the lowest risk and receiving repayment priority in the event of default. Conversely, mezzanine debt is unsecured and subordinated, offering higher yields but with greater associated risk. Unitranche loans provide a blended facility, combining elements of both senior and subordinated debt into a single instrument.

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Fund Structures: The choice of fund structure is pivotal for investors, particularly for insurers balancing longer-term liabilities with potential liquidity needs.

- **Drawdown Funds (Limited Partnerships):** These are the most common structures for institutional investors. Capital is committed upfront and drawn down by the fund manager as investment opportunities arise. Drawdown funds typically have high investment minimums and offer the least liquidity, with investor capital often locked up for several years, commonly ranging from 5 to 10 years. They are often favored for their performance potential due to their underlying portfolio compositions and fee structures, as all assets are invested in private holdings. CapVisor has sourced and vetted several strategies that avoid or minimize these traditional drawbacks.
- **Evergreen Funds:** These structures provide enhanced, though still semi-liquid, liquidity. They typically feature monthly or quarterly subscription and redemption windows, usually requiring advance notice for redemptions. A key benefit of evergreen funds is their simplification of ongoing private market exposure, as the fund manager assumes responsibility for reinvesting proceeds and compounding capital. Evergreen funds are broadly accessible, with investment minimums potentially as low as \$500,000, although the current universe of such funds is limited. Fees are typically charged on the Net Asset Value (NAV) of fund assets, which includes both original investment cost and appreciation, including unrealized gains. The enhanced liquidity, while generally producing slightly lower returns, is especially attractive for small admitted carriers as well as ART vehicles such as captives and RRGs.
- **UCITS (Undertakings for Collective Investment in Transferable Securities):** Primarily a European regulatory framework, UCITS funds were designed with off-shore Insurers, particularly captives, in mind, ensuring high levels of investor protection and facilitating cross-border distribution via the European Passport. They are characterized by being open-ended and liquid. While traditionally focused on publicly traded securities, the UCITS III directive (2003) expanded their investment freedom to include financial derivatives and indices. Common Contractual Funds (CCFs) can also be established as UCITS funds.

The diverse range of fund structures available directly addresses the varied liquidity requirements of different investor types, including institutional ones. Drawdown funds, with their typically longer lock-up periods, offer the least liquidity but are often associated with potentially higher performance due to their fully invested nature and lack of cash drag.



In contrast, evergreen funds and BDCs provide more frequent liquidity options, albeit potentially at the cost of some performance (due to the need to hold some cash or publicly traded securities for redemptions) or a more limited universe of available funds. For small to mid-sized insurers, who must carefully balance long-term asset-liability matching with potential short-to-medium term liquidity needs, the choice of fund structure is critical. This necessitates a careful assessment of the trade-off between maximizing yield and maintaining sufficient portfolio liquidity to meet unforeseen obligations.

The presence of SEC-regulated BDCs and the highly regulated UCITS framework highlights a spectrum of regulatory oversight within private credit. While these vehicles offer enhanced investor protection and transparency, they stand in contrast to less transparent private structures. This difference in regulatory frameworks can present opportunities for regulatory capital optimization, but it also necessitates thorough due diligence from insurers. Understanding the level of regulatory scrutiny and disclosure associated with each structure is crucial for assessing potential risks, particularly those related to valuation opacity and interconnectedness with other parts of the financial system. Insurers must evaluate whether the level of transparency and oversight aligns with their internal risk management frameworks and external regulatory obligations.

Market Growth and Insurance Company Participation

Private credit has transformed from a niche asset class into a substantial \$3 trillion global market, projected to reach \$3.5 trillion by 2028. This expansion represents a tenfold increase in size since 2009, with approximately \$2 trillion in capital deployed by private credit funds in 2023 alone. This remarkable growth is considered structural rather than merely cyclical, driven by the retreat of traditional banks from certain lending segments post-2008 financial crisis and a persistent demand for speed, flexibility, and yield from borrowers. Middle-market companies, often too small for bank syndication but too large for public markets, have particularly relied on private credit for flexible financing, with 70% of borrowers turning to it for this reason.

A notable trend within this growth is the increasing participation of insurance companies.

Approximately 62% of surveyed CIOs and CFOs of insurance companies plan to increase their allocations to private markets, with private credit expected to be a primary driver of returns.

Insurers are drawn to private credit for its ability to match intermediate to long-term liabilities with steady, contractual income, a critical component of their business model. This strategic alignment is further enhanced by the attractive total return prospects and higher interest rate environment currently observed in private credit.

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The sustained expansion of the private credit market is not merely a cyclical phenomenon but rather a structural shift in financial intermediation. This permanence means that private credit is likely to remain a significant and growing asset class, rather than a temporary trend. For insurers, this implies that allocations to private credit are not short-term tactical plays but rather long-term strategic decisions that can provide consistent benefits over extended periods. The enduring demand for flexible financing from middle-market companies, coupled with the ongoing regulatory constraints on traditional banks, underpins this structural growth, making private credit a durable component for long-term asset allocation.

The characteristics of private credit, particularly its capacity to generate steady, contractual income and its longer-duration profile, align exceptionally well with the unique asset-liability matching requirements of insurance companies. Most P&C insurers have intermediate to long-term obligations to policyholders, and private credit offers a means to generate predictable cash flows that can be aligned to these liabilities. This alignment is particularly valuable in a higher interest rate environment, where private credit yields are at 15-year highs, allowing insurers to lock in attractive return exposures. This strategic fit not only enhances yield but also contributes to capital efficiency, as demonstrated by the growing partnerships particularly between life insurers and alternative asset managers aimed at boosting income and competitiveness in asset-intensive businesses.

Advantages Over Other Asset Classes: Private credit offers several compelling benefits for investors. It provides potential for high yields and consistent income streams, often with less correlation to public markets. This low correlation contributes to genuine diversification, reducing overall portfolio volatility as its performance is more dependent on the fundamental health of individual borrowers rather than broader market sentiment. Historically, private credit has generated attractive total returns (8%-12%+ annually) with significantly lower volatility than equities, delivering equity-like returns with approximately 75% less volatility than U.S. stocks. Its income-driven nature, primarily from coupon payments, provides a stable return profile and offers some protection against market stress. Structural protections, such as robust covenants and direct lender-borrower relationships, allow for customized terms and potentially higher recovery rates in the event of default (e.g., approximately 80% for secured private corporate debt). Many private credit deals feature floating-rate structures, offering potential inflation protection as rates adjust with rising market conditions. The private market also demonstrates resilience, often remaining open for financing even when public markets experience turmoil.



Disadvantages Over Other Asset Classes: Despite its advantages, private credit comes with inherent drawbacks. A primary concern is its illiquidity; these loans are not publicly traded, limiting an investor's ability to easily exit positions. Borrowers in the private credit market often have credit ratings below investment grade, implying a heightened risk of default. Investing in private credit requires specialized knowledge for thorough underwriting and risk management. The asset class also entails management fees, which can be substantial. Furthermore, there is a general lack of transparency and regulatory protections compared to public markets, making prompt assessment of potential losses challenging for outsiders. The rapid growth and increasing competition in the market may also lead to a deterioration in pricing, underwriting standards, and covenant strength, potentially raising future credit losses.

The illiquidity inherent in private credit is a significant characteristic, but it is often compensated for by an "illiquidity premium," which translates into higher yields compared to traditional fixed-income assets. This premium serves as compensation for investors committing capital for longer periods without immediate access. While credit risk is present, particularly given that many borrowers are below investment grade, these risks can be substantially mitigated through careful management and thorough underwriting processes. The direct nature of private credit transactions allows lenders to negotiate customized terms and implement robust covenants, providing safeguards and opportunities for non-coupon income, such as amendment fees or rate bumps. This direct relationship also enables quicker and more effective resolutions in case of defaults, improving recovery prospects compared to publicly syndicated debt.

The low correlation of private credit to traditional public markets, such as equities and bonds, is a key attribute that enhances portfolio diversification. This means that private credit's performance is driven more by the fundamental health of the underlying borrowers and the specific terms of the loans, rather than by broader market sentiment or daily fluctuations. For insurers, incorporating private credit can therefore reduce overall portfolio volatility and provide a genuine source of diversification, making it a defensive allocation during periods of market instability. **Reallocating even a small portion (e.g., 5 or 10%) of a traditional equity and fixed income portfolio to private credit has historically been shown to reduce volatility while potentially increasing returns, thereby improving the overall risk-adjusted returns of the portfolio.** This ability to improve the Sharpe Ratio of a diversified portfolio underscores its strategic value in optimizing asset allocation.

Fee Considerations

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Fee structures in private credit can vary significantly depending on the type of lending strategy. **Median management fees typically range around 1.5%, with carried interest (performance-based fees) often set at approximately 15%. These fees may also include tiered pricing and various performance-based components.** Beyond recurring management and performance fees, private credit loans often incorporate various deal-specific charges. These can include upfront deal fees, sometimes referred to as original issue discount, arranger fees, or commitment and structuring fees. Additionally, lenders may benefit from prepayment penalties, known as "call protection," which compensate them if a borrower repays the loan early. In some cases, a lender might also receive an "equity kicker," which provides an equity co-investment alongside the loan, offering additional upside potential.

The method of calculating fees also differs across fund structures. Evergreen funds typically charge management fees on the Net Asset Value (NAV) of the fund's assets, which includes both the original investment cost basis and any appreciation, including unrealized gains. In contrast, drawdown funds usually pay carried interest on realized returns, often after a predetermined hurdle rate has been exceeded. This means that carry in drawdown funds typically peaks in the middle years of the fund's life and declines as the value of remaining investments decreases.

Understanding these varied fee structures is essential for insurers, as they directly impact net returns and the alignment of interests between the fund manager and the investor. For instance, charging fees on NAV (as in evergreen funds) means the manager benefits from unrealized gains, which can incentivize certain valuation practices. Conversely, fees tied to realized returns (as in drawdown funds) may encourage managers to prioritize exits. A thorough evaluation of all fee components—management fees, carried interest, deal fees, and potential equity kickers—is crucial for assessing the true cost of the investment and ensuring that the manager's incentives are aligned with the insurer's long-term investment objectives. This comprehensive understanding helps in making informed decisions about the overall value proposition of a private credit strategy.

Insurer Allocations: Minimum Investment Requirements

A key consideration for small to mid-sized insurers is the accessibility of private credit strategies given their smaller asset bases, often necessitates a minimum investment threshold in the \$1-5 million range. Traditional drawdown funds, while offering a vast universe of opportunities, typically imposed higher investment minimums, which was a constraint on utilization for many small to mid-size insurers.



However, the evolving landscape of private credit has introduced structures that cater to lower investment thresholds. CapVisor has vetted several manager strategies that will accept allocations with this range to accommodate small-mid-side insurers and/or ART vehicles.

Evergreen funds, for instance, are broadly accessible, with investment minimums potentially as low as \$ 500,000. While the current universe of evergreen funds is limited compared to drawdown funds, the number of private credit funds within this structure is significantly larger than private equity funds, offering more options. Some direct lending platforms or specific private credit offerings can accommodate investments in the desired \$1-5 million range.

The increasing availability of private credit vehicles with lower investment minimums, such as evergreen funds and even some drawdown funds, significantly enhances accessibility for small to mid-sized insurers seeking to allocate within the \$1-5 million range. This development is crucial because it allows these insurers to participate in the private credit market without committing disproportionately large portions of their asset base to a single illiquid investment. However, this increased accessibility comes with a nuanced consideration: the universe of funds available at these lower minimums may still be limited compared to the broader private credit market dominated by large institutional drawdown funds. This limitation could impact the insurer's ability to achieve optimal diversification across managers and underlying credit strategies, potentially leading to higher manager concentration risk. Therefore, while the entry barrier is lowered, careful selection and a clear understanding of the available options are still necessary to build a well-diversified private credit allocation.

Investment Grade Rated Components and RBC Charges

For insurance companies, the ability of a private credit strategy to include investment-grade rated components is paramount for managing Risk-Based Capital (RBC) charges and ensuring acceptability as a reserve asset. Insurers prefer, and in some cases are required, to invest in assets with credit ratings, as these can lead to lower RBC charges. The NAIC assigns different capital charges based on the riskiness of various asset classes, with higher risk attracting higher charges.

Private credit strategies commonly offer investment-grade rated components through structures known as "rated note feeders". These structured financial vehicles are designed by investment funds to attract institutional investors like insurance companies. A credit



rating agency (e.g., Kroll, Moody's or S&P) assigns a risk rating to these notes, allowing insurers to invest in typically unrated private assets while complying with regulations and reducing the amount of capital they need to reserve. When a private letter credit rating is obtained, these notes are considered "privately rated securities" for insurance regulatory capital purposes, enabling favorable NAIC Designation treatment. **Furthermore, private credit loans structured like private placement bonds may qualify as Schedule D assets, resulting in a lower RBC rating compared to Schedule BA assets.**

The regulatory capital efficiency of private credit investments is a critical factor for "Admitted" insurers. The ability to obtain investment-grade ratings through structures like "rated note feeders" directly impacts the amount of capital an insurer must hold against these assets, thereby influencing their profitability and capacity for growth. This An evolving regulatory environment necessitates a proactive approach from insurers, involving continuous monitoring of NAIC developments and a deep understanding of how private credit investments are classified and treated for capital purposes to optimize their balance sheets effectively.

Lock-up Periods and Liquidity

Liquidity is a perpetual concern for insurers, making the lock-up periods associated with private credit funds a critical evaluation point. Traditionally, private credit funds generally require investors to lock up their money for several years, commonly ranging from five to ten years. This extended lock-up period is a fundamental characteristic that differentiates private credit from more liquid public market investments. While this illiquidity is a disadvantage for investors seeking immediate access to capital, it is also cited by regulators, such as the Federal Reserve, as a factor that reduces the risk of destabilizing runs during times of financial stress, as investors are contractually bound for the long term.

To address liquidity concerns, some private credit vehicles offer more flexible redemption options. Evergreen funds, for instance, provide enhanced, though still semi-liquid, liquidity with typical monthly or quarterly subscription and redemption windows, usually requiring advance notice for redemptions. Similarly, CapVisor has sought out Drawdown funds that are designed for small-mid-sized insurer participation by offering shorter lock-up periods. The "illiquidity premium" inherent in private credit is designed to compensate investors for this commitment of capital over a longer period, translating into higher yields compared to traditional fixed-income assets.



Insurers must carefully balance their need for liquidity with the potential for higher returns offered by the illiquidity premium in private credit. This involves aligning the investment's lock-up period with the insurer's own liability profile and cash flow projections. For longer-duration liabilities, longer lock-up periods in drawdown funds may be acceptable, potentially offering higher yields. However, for insurers with more dynamic liquidity needs or shorter-duration liabilities, semi-liquid structures like evergreen funds might be more appropriate. The decision requires a thorough assessment of the insurer's specific asset-liability management strategy and risk tolerance, ensuring that the illiquidity of private credit does not create undue operational or financial strain.

Track Record and Volatility of Returns

Private credit has demonstrated a compelling historical track record, characterized by attractive risk-adjusted returns driven primarily by high current income. This income stream typically comprises coupon payments, with potential yield enhancement from discounted issuance prices, various fees, and call protection. Over the past two decades, private credit has notably outperformed public loans, delivering annualized returns of approximately 10% compared to just 5% for public loans.

A significant characteristic of private credit is its lower volatility relative to traditional asset classes. Historically, it has provided equity-like returns with significantly less volatility, with some analyses suggesting 75% less volatility than U.S. stocks. This reduced volatility is attributed to the income-driven nature of returns and the structural protections embedded in private loan agreements, which are designed to manage downside risk even during challenging market and economic environments. During periods of market turbulence, such as the Global Financial Crisis (2007–2009), COVID-19 (2020), and the volatility of 2022, private credit experienced relatively muted drawdowns compared to high-yield bonds and equities. For instance, during the GFC, private credit saw an 8% drawdown, significantly less than the 27% for U.S. High Yield and 46% for U.S. Equities.

The market environment since 2022, marked by higher interest rates, increased spreads, and price discounts, has further enhanced the potential yields from private lending. This combination of higher potential returns and historically lower volatility makes private credit an attractive component for insurers seeking stable income and capital preservation.

The income-driven nature of private credit, primarily through coupon payments and various fees, provides a stable and predictable return profile that distinguishes it from equity investments reliant on price appreciation. This characteristic inherently contributes to



lower volatility, as the returns are less susceptible to short-term market fluctuations. Furthermore, the structural protections embedded in private credit agreements, such as robust covenants and senior secured positions, are specifically designed to manage downside risk. These contractual safeguards aim to alert lenders quickly to adverse turns in a borrower's financial health and provide mechanisms for recovery in the event of default. This combination of stable income generation and strong downside protection explains why private credit has historically exhibited muted drawdowns during periods of market turbulence, offering a more resilient performance profile compared to more volatile public market assets.

Correlation to Core Bonds and Equities, Diversification Benefits

A compelling attribute of private credit for portfolio construction is its low correlation to traditional public markets, including core bonds (e.g., Bloomberg Aggregate) and core equities (e.g., S&P 500). This low correlation means that private credit's performance is largely independent of the daily swings and sentiment-driven movements in public markets. Instead, its returns are primarily driven by the fundamental health and operational performance of the underlying borrowers.

This characteristic offers significant diversification benefits, which are crucial for insurers seeking to optimize their portfolios. By adding an asset class whose performance is not closely tied to their existing public market exposures, insurers can effectively reduce overall portfolio volatility and enhance risk-adjusted returns. The evidence suggests that even a modest reallocation, such as shifting 5-10% of a traditional equity and fixed income portfolio to private credit, could historically reduce volatility and increase returns. This indicates that private credit can serve as a genuine diversifier, providing a distinct source of return that improves the overall efficiency of a multi-asset portfolio. This strategic diversification is particularly valuable in uncertain economic environments, as it can help stabilize returns and provide a defensive allocation during periods of market stress.

The ability of private credit to exhibit low correlation with public markets allows it to act as a powerful diversifier within an insurer's portfolio. This is because its performance drivers are distinct: rather than being swayed by broad market sentiment or macroeconomic headlines that impact publicly traded stocks and bonds, private credit returns are fundamentally tied to the specific creditworthiness and operational success of individual private borrowers. This independence in performance helps to smooth out overall portfolio returns, reducing the impact of volatility from traditional asset classes. Consequently, incorporating private credit can lead to an improved Sharpe Ratio for the total portfolio,



indicating a better risk-adjusted return profile. This strategic diversification is a key advantage for insurers, enabling them to enhance portfolio resilience and achieve more consistent long-term investment outcomes.

Manager Expertise and Experience with Insurance Companies

The selection of a private credit manager is a critical determinant of success, particularly for insurance companies navigating complex regulatory and investment environments. Insurers must conduct thorough due diligence, focusing on the manager's expertise within the private credit strategy and their specific experience working with insurance clients.

Key attributes of a strong private credit manager include a well-defined investment philosophy, a robust process for sourcing and evaluating potential investment opportunities, and sophisticated risk management practices. When assessing performance, it is advisable to look beyond absolute returns and instead focus on excess returns and the volatility of those excess returns over the long term and across economic cycles. This approach helps to isolate the manager's skill in generating high excess returns with low volatility. Detailed analysis should extend to gross interest income (the primary source of returns), loan losses, default rates, and loss given default ratios, as these metrics speak to the manager's skill in loan selection, screening, and the effectiveness of structural and contractual protective provisions. Furthermore, a comprehensive operational risk assessment, covering the manager's people, processes, technology, governance, and financial controls, is essential.

Many large alternative asset managers have developed specialized capabilities and dedicated units to serve insurance companies. They offer tailored solutions, including customized separately managed accounts (SMAs) for larger clients and full portfolio management, fostering long-term strategic partnerships. Their deep expertise, drawing from over 20 years of experience on average among investment professionals and leveraging a broader network of senior advisors and data scientists, allows them to originate opportunities and build solutions optimized for various market conditions and client needs. The growing trend of partnerships between insurers and alternative asset managers, sometimes involving acquisitions of asset origination capabilities or reinsurance arrangements with asset manager-owned offshore insurers, further underscores the importance of manager experience in navigating the nuances of insurance capital and liabilities.



CapVisor's manager vetting process includes a rigorous due diligence on a private credit manager's capabilities specific to insurers. This extends beyond merely reviewing past performance figures; it requires a deep dive into the manager's investment process, particularly their ability to source, underwrite, and manage complex credit exposures. For insurers, a manager's specific experience with insurance regulatory frameworks and their capacity to structure investments in a manner that optimizes capital charges (e.g., through rated notes or appropriate accounting classifications) is critical. This is not just about identifying a manager who can generate returns, but one who understands the unique balance sheet and regulatory constraints of an insurance company. A manager with a proven track record of working with insurers can demonstrate a nuanced understanding of asset-liability matching, statutory accounting, and RBC implications, thereby enabling the insurer to integrate private credit effectively and compliantly into its overall investment strategy.

Quarterly Reporting Accuracy and Timeliness

Accurate and timely quarterly reporting is a crucial operational requirement for insurers investing in private credit, facilitating effective portfolio monitoring, audit and regulatory compliance. The U.S. Securities and Exchange Commission (SEC) has implemented rules requiring SEC-registered private fund advisers to prepare and distribute quarterly statements to investors, detailing information regarding fees, expenses, and performance. The objective of these rules is to provide clear and simple disclosures, enhancing investors' understanding of their private fund investments.

These quarterly statements must include comprehensive fee and expense disclosures, outlining all fees and expenses allocated to or paid by the private fund, as well as any offsets or rebates. Performance disclosure requirements vary based on fund liquidity. For "liquid funds" (those allowing voluntary redemptions), advisers must report Net Total Return on an annual basis for the past 10 fiscal years or since inception, annualized Net Total Return over one-, five-, and ten-fiscal year periods, and Cumulative Net Total Return for the current fiscal year. For "illiquid funds," advisers are required to show gross and net since inception internal rate of return (IRR) and gross and net multiple of invested capital (MOIC) for the total fund, as well as separate gross IRR and MOIC for realized and unrealized portions of the portfolio. These metrics must be computed both with and without the impact of fund-level subscription facilities. A critical requirement is the prominent disclosure of the criteria and assumptions used in calculating performance, ensuring transparency.



Regarding timeliness, most private funds are required to deliver quarterly statements within 45 days after the first three fiscal quarter ends and within 90 days after the fiscal year-end. Fund of Funds have slightly longer deadlines (75 days and 120 days, respectively). For newly formed private funds, reporting begins after the fund's second full quarter of operating results. The rules also address consolidated reporting for complex fund structures, such as feeder funds investing in master funds, requiring a single consolidated statement where not misleading. Advisers are also mandated to retain extensive records related to these quarterly statements, including copies of distributed statements and all records evidencing calculation methods for fees, expenses, and performance. Efforts by industry bodies like the Institutional Limited Partner Association (ILPA) to update reporting templates, effective Q1 2026, further aim to enhance transparency and standardization in private fund reporting.

The regulatory mandates and industry standards for quarterly reporting are significantly improving transparency in private credit, which is a substantial benefit for insurers. However, the onus remains on the insurer to meticulously verify the accuracy and consistency of the data provided. Given the inherent complexity of private credit valuations and the potential for manager discretion, insurers must have internal capabilities to scrutinize reported figures, cross-referencing them with investment policies, loan tapes, and cash flow reconciliations. The detailed requirements for performance calculation, including the impact of subscription facilities and separate reporting for realized and unrealized gains, provide valuable insights into the underlying economics of the fund. This level of detail, coupled with the prescribed timeliness, enables insurers to conduct more effective oversight, manage their private credit exposures with greater precision, and ensure that their internal financial reporting and regulatory filings are based on reliable and verifiable data.

Regulatory Acceptability

Disclaimer: CapVisor does not provide regulatory advice.

The regulatory acceptability of private credit investments for insurers is a dynamic and increasingly scrutinized area. Historically, private credit has operated with minimal regulation and a degree of opacity, which has raised concerns among various financial regulators, including the SEC, IMF, and Federal Reserve. These concerns primarily revolve around potential systemic risks if private credit loan defaults rise, the lack of transparency limiting regulators' ability to monitor interconnections with other financial sectors (such as



insurance companies), and the potential for cascading effects across broader financial markets in a downturn.

In the U.S., the National Association of Insurance Commissioners (NAIC) plays a central role in setting standards and best practices for the insurance industry and providing regulatory support. The NAIC's Risk-Based Capital (RBC) Model Governance Task Force is actively working to reassess and modernize capital requirements for insurance companies, particularly in response to evolving investment trends and "new sources of yield" like private credit. This initiative is driven by the principle of "Equal Capital for Equal Risk," which could lead to more differentiated capital treatment across various fund finance structures, including private credit. While subscription credit facilities have historically been recognized for their low-risk profile, other private credit exposures, such as NAV loans, face an open question regarding their classification and capital requirements.

The NAIC has noted that insurers are serving as a "growing source of real economy financing" through their investments in private credit. However, the ongoing re-evaluation of RBC treatment, particularly concerning "rated note structures" that attract insurance capital, could lead to adjustments in capital charges, potentially affecting the attractiveness of these structures for insurers. Insurers must therefore stay abreast of these regulatory developments and be prepared for potential shifts in how private credit investments are viewed and capitalized.

GAAP and Statutory Accounting Considerations

Disclaimer: CapVisor does not provide accounting advice.

For insurers, understanding the distinct accounting frameworks of Generally Accepted Accounting Principles (GAAP) and Statutory Accounting Principles (SAP) is crucial, as they have significant implications for how private credit investments are valued, classified, and reported. Publicly owned U.S. insurance companies are typically required to report to the SEC using GAAP, while simultaneously reporting to state insurance regulators and paying taxes using SAP.

Statutory Accounting Principles (SAP): Prescribed by the National Association of Insurance Commissioners (NAIC), SAP's overarching objective is to monitor the solvency of insurance companies to ensure they can meet obligations to policyholders. SAP emphasizes conservatism, recognizing only liquid assets available to meet obligations and marking illiquid or unavailable assets against surplus. Its primary focus is the balance sheet statement.

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Generally Accepted Accounting Principles (GAAP): GAAP is designed to provide an accurate portrayal of a firm's operations for the benefit of investors, creditors, and other stakeholders. Under GAAP, investments held at the end of a reporting period are generally presented on the statement of financial position at fair value.

Key Differences and Implications for Private Credit:

- **Valuation:** This is a significant divergence. Under GAAP, debt securities are valued at fair value, representing the price that would be received to sell an asset in an orderly transaction. In contrast, SAP takes a more conservative approach. For loans, SAP guidelines typically do not allow valuation at an amount greater than cost, and unrealized depreciation must be recognized if the value is impaired. Furthermore, SAP does not permit adjustments to loan values for changes in interest rates. This conservative valuation approach under SAP can lead to lower reported asset values compared to GAAP, impacting an insurer's reported surplus.
- **Unrealized Gains and Losses:** Under SAP, changes in unrealized appreciation and depreciation on investments are reported directly to capital/equity on the statement of financial condition. GAAP, however, requires net changes in unrealized appreciation and depreciation on investments to be reported as a component of net income. This difference affects how investment performance impacts an insurer's income statement versus its balance sheet.
- **Bond Definition and Classification (Effective January 1, 2025):** The NAIC's principles-based bond definition (PBBD) significantly impacts how debt securities, including private credit, qualify for bond reporting under Statement of Statutory Accounting Principles (SSAP) No. 26—Bonds. For Asset-Backed Securities (ABS), to qualify as a bond, the capital structure must be supported by "substantive credit enhancement," such as overcollateralization or subordination. If a private credit investment, such as a Middle Market Collateralized Loan Obligation (MM CLO), does not meet this requirement for substantive credit enhancement, it would be reported on Schedule BA: Other Invested Assets, rather than as a bond on Schedule D. This distinction is critical because Schedule BA assets typically incur higher RBC charges than Schedule D bonds. There has been diversity in practice regarding the classification of certain private credit investments between SSAP 26R (issuer obligations) and SSAP 43R (asset-backed securities), and the NAIC is working to clarify these interpretations. The Schedule BA reporting category for "non-registered



private fund" has been eliminated, with such items now reported under "Joint Ventures, Partnerships and Limited Liability Companies" if in scope of SSAP No. 48.

The dual reporting requirements under GAAP and SAP necessitate that insurers meticulously manage their private credit investments with both or the applicable framework in mind. The more conservative valuation approach under SAP, particularly its constraints on recognizing unrealized appreciation and its focus on liquid assets, directly impacts an insurer's reported capital and surplus, which are key metrics for state regulators. The new NAIC principles-based bond definition, effective January 1, 2025, further complicates this. It requires a detailed assessment of private credit structures to determine if they qualify as bonds with favorable RBC treatment, or if they will be relegated to the higher-capital-charge Schedule BA. This means that the structural features of private credit investments, such as the presence of substantive credit enhancement, are not just investment considerations but critical accounting and regulatory determinants. Insurers must therefore collaborate closely with their investment managers, accounting teams, and regulatory compliance departments to ensure that private credit allocations are structured and reported in a manner that optimizes capital efficiency while adhering to all statutory requirements.

CapVisor Conclusions

The comprehensive analysis of private credit reveals it to be a compelling, albeit complex, asset class for small to mid-sized insurers seeking to enhance their investment portfolios. Its capacity to deliver attractive yields, consistent income, and genuine diversification—owing to its low correlation with public markets—aligns well with insurers' long-term liability matching objectives. The historical performance data, indicating equity-like returns with significantly lower volatility and muted drawdowns during market stresses, underscores its potential as a resilient portfolio component.

However, the inherent illiquidity of private credit, coupled with its exposure to credit risk from often below-investment-grade borrowers, necessitates a disciplined and informed approach. The evolving regulatory landscape, particularly the NAIC's increased scrutiny on investment ratings and capital charges, demands that insurers move beyond superficial assessments. They must engage in meticulous due diligence on fund structures, prioritizing those that offer suitable minimum investment thresholds (e.g., evergreen funds, BDCs) and provide access to investment-grade rated components (e.g., rated note feeders) to optimize RBC implications. Furthermore, a thorough evaluation of manager expertise,



focusing on their underwriting capabilities, risk management practices, and specific experience with insurance clients and their unique regulatory constraints, is paramount.

The operational complexities associated with private credit, including the need for accurate and timely quarterly reporting under new SEC and ILPA standards, and the critical differences between GAAP and Statutory Accounting Principles, require robust internal capabilities. Insurers must understand how private credit investments are valued, classified, and impact their financial statements under both frameworks, especially in light of the NAIC's new principles-based bond definition.

In conclusion, private credit can be a valuable strategic allocation for small to mid-sized insurers. Its successful integration hinges on a nuanced understanding of its diverse structures, a proactive approach to navigating the evolving regulatory environment, and a rigorous selection process for managers. By carefully aligning private credit investments with their specific risk appetites, liquidity needs, and capital requirements, insurers can leverage this growing asset class to enhance portfolio returns, reduce overall volatility, and strengthen their long-term financial stability.

July 2025 -Carl Terzer, Chief Investment Strategist, CapVisor Associates, LLC

For more information or access to a private credit presentation for P&C insurers, please contact Travis Terzer @ travis,terzer@capvisorassociates.com

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